



INDIA SME HELPDESK

Non-Disclosure Agreement (Template)

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Non-Disclosure Agreements (NDAs) are crucial when partnering and collaborating with enterprises (or investors, universities, etc.) in India. They serve as a cornerstone for protecting sensitive business information. Given the increased complexity and risks associated with international business, the importance of NDAs is magnified.

Key Reasons for NDAs in International Partnerships:

1. Protection of Intellectual Property:

- Safeguarding patents, trademarks, copyrights, and trade secrets against unauthorized use.
- Safeguarding inventions against early disclosure, and anticipation (anticipation refers to the inventor's disclosure of a claimed invention before filing a patent application or the existence of a prior invention or disclosure of the claimed invention by another party before filing a patent application).
- Maintaining a competitive edge in the global market.

2. Building Trust and Confidence:

- Demonstrating a commitment to protecting sensitive information.
- Fostering a collaborative environment based on mutual trust.
- Encouraging open communication and knowledge sharing.

3. Managing Risks:

- Mitigating the risk of information leakage to competitors.
- Protecting against potential financial losses due to unauthorized disclosure.
- Providing a legal framework for addressing breaches of confidentiality.

4. Facilitating Negotiations:

- Creating a secure environment for sharing confidential information.
- Enabling open and honest discussions about business opportunities.
- Promoting fair and equitable negotiations.

5. Compliance with Legal and Regulatory Requirements:

- Adhering to data protection laws and regulations in different jurisdictions.
- Demonstrating due diligence in protecting sensitive information.
- Avoiding potential legal liabilities and penalties.

A Non-Disclosure Agreement (NDA) in India is governed by the Indian Contract Act of 1872, and it is a legally binding contract. Though not mandated, it is recommended that the NDA be registered under the Indian Registration Act, 1908 by approaching the Office of the Sub-Register to ensure its continued validity and enforceability.

Keep in mind that the following NDA template is just a starting point, that can and should be tailored to suit specific situations or user needs.

NON-DISCLOSURE AGREEMENT

THIS AGREEMENT MADE ON THIS THE _____ DAY OF _____, 2024

BY AND BETWEEN

< ***Insert official name of the potential partner or participant*** >, a company incorporated under the Companies Act, 2013 and having its registered office at <<address>> (hereinafter referred to as the **'Discloser'**, which expression shall unless repugnant to the context or meaning thereof, include its successors in interests and assigns) **OF THE ONE PART;**

OR

[In case of non-Indian (EU) registered companies, universities, research institutes, etc.]

<***Insert the official name of the potential partner or participant (Relevant for non-Indian registered companies, universities, and research institutes.)***> and having its registered office at <<address>> (hereinafter referred to as the **'Disclosing Party'**, which expression shall unless repugnant to the context or meaning thereof, include its successors in interests and assigns) **OF THE ONE PART;**

AND

[Insert official name of the potential partner or participant], having its registered office at ***[Please fill in address]*** (hereinafter referred to as **'Receiving Party'** which expression shall, unless repugnant to the context or meaning thereof, be deemed to include its representatives and permitted assigns) **OF THE OTHER PART;**

Disclosing Party and **Receiving Party** shall hereinafter be referred to as such or collectively as **'Parties'** and individually as **'Party'**.

WHEREAS both the Parties herein wish to pursue discussions and negotiate with each other for the purpose of entering into a potential business arrangement in relation to *[Please fill in details of proposed transaction]* (**'Proposed Transaction'**);

AND WHEREAS the Parties contemplate that with respect to the Proposed Transaction, both the Parties may exchange certain information, material and documents relating to each other's business, assets, financial condition, operations, technologies, plans and/or prospects of their businesses (hereinafter referred to as **"Confidential Information"**, more fully detailed in clause 1 herein below) that each Party regards as proprietary and confidential; and

AND WHEREAS each Party wishes to review such Confidential Information of the other for the sole purpose of determining their mutual interest in engaging in the Proposed Transaction;

IN CONNECTION WITH THE ABOVE, THE PARTIES HEREBY AGREE AS FOLLOWS:

1. **‘Confidential and or proprietary Information’** shall mean and include any information disclosed by the Disclosing Party to the other Receiving Party either directly or indirectly, in writing, orally, by inspection of tangible objects (including, without limitation, documents, prototypes, samples, media, documentation, discs and code). Confidential information shall include, without limitation, any materials, trade secrets, network information, configurations, trademarks, brand name, know-how, business and marketing plans, financial and operational information, and all other non-public information, material or data relating to the current and/or future business and operations of the Disclosing Party and analysis, compilations, studies, summaries, extracts, or other documentation prepared by the Disclosing Party. Confidential Information may also include information disclosed to the Receiving Party by third parties on behalf of the Disclosing Party.
2. The Receiving Party shall refrain from disclosing, reproducing, summarising and/or distributing Confidential Information and confidential materials of the Disclosing Party except in connection with the Proposed Transaction.
3. Confidential Information shall be identified either by marking it, in the case of written materials, or, in the case of information that is disclosed orally or written materials that are not marked, by notifying the other Party of the confidential nature of the information. Such notification shall be done orally, by e-mail or written correspondence, or via other appropriate means of communication.
4. The Parties shall protect the confidentiality of each other’s Confidential Information in the same manner as they protect the confidentiality of their own proprietary and confidential information of a similar nature. Each Party, while acknowledging the confidential and proprietary nature of the Confidential Information, agrees to take all reasonable measures at its own expense to restrain its employees and representatives from prohibited or unauthorised disclosure or use of the Confidential Information.
5. Confidential Information shall at all times remain the property of the Disclosing Party and may not be copied or reproduced by the Receiving Party without the Disclosing Party’s prior written consent.

6. Within seven (7) days of a written request by the Disclosing Party, the Receiving Party shall return/destroy (as may be requested in writing by the Disclosing Party or upon expiry and/or earlier termination) all originals, copies, reproductions, and summaries of Confidential Information provided to the Receiving Party as Confidential Information. The Receiving Party shall certify to the Disclosing Party in writing that it has satisfied its obligations under this paragraph.
7. The Receiving Party may disclose the Confidential Information only to the Receiving Party's employees and Representatives on a need-to-know basis. The Receiving Party shall have executed or shall execute appropriate written agreements with third parties, in a form and manner sufficient to enable the Receiving Party to enforce all the provisions of this Agreement.
8. Confidential Information, however, shall not include any information which the Receiving Party can show:
 - i) is in or comes into the public domain otherwise than through a breach of this Agreement or the fault of the Receiving Party; or
 - ii) was already in its possession free of any such restriction prior to receipt from the Disclosing Party; or
 - iii) was independently developed by the Receiving Party without making use of the Confidential Information; or
 - iv) has been approved for release or use (in either case without restriction) by written authorization of the Disclosing Party.
9. In the event either Party receives a summons or other validly issued administrative or judicial orders requiring the disclosure of Confidential Information of the other Party, the Receiving Party shall promptly notify the Disclosing Party. The Receiving Party may disclose Confidential Information to the extent such disclosure is required by law, rule, regulation or legal process; *provided however*, that, to the extent practicable, the Receiving Party shall give prompt written notice of any such request for such information to the Disclosing Party, and agrees to co-operate with the Disclosing Party, at the Disclosing Party's expense, to the extent permissible and practicable, to challenge the request or limit the scope thereof, as the Disclosing Party may reasonably deem appropriate.

10. Neither Party shall use the other's name, trademarks, proprietary words or symbols, or disclose them under this Agreement in any publication, press release, marketing material, or otherwise without the prior written approval of the other.
11. Each Party agrees that the conditions in this Agreement and the Confidential Information disclosed pursuant to this Agreement are of a special, unique, and extraordinary character and that an impending or existing violation of any provision of this Agreement would cause the other Party irreparable injury for which it would have no adequate remedy at law and further agrees that the other Party shall be entitled to obtain immediately injunctive relief prohibiting such violation, in addition to any other rights and remedies available to it at law or in equity.
12. The Receiving Party shall indemnify the Disclosing Party for all costs, expenses or damages that Disclosing Party incurs as a result of any violation of any provisions of this Agreement. This obligation shall include court, litigation expenses, and actual, reasonable attorney's fees. The Parties acknowledge that as damages may not be a sufficient remedy for any breach under this Agreement, the non-breaching party is entitled to seek specific performance or injunctive relief (as appropriate) as a remedy for any breach or threatened breach, in addition to any other remedies at law or in equity.
13. Neither Party shall be liable for any special, consequential, incidental or exemplary damages or loss (or any lost profits, savings or business opportunity) regardless of whether a Party was advised of the possibility of the damage or loss asserted.
14. Both the Parties agree that by virtue of the Parties entering into this Agreement neither Party is obligated to disclose all or any of the Confidential Information to the other as stated in this Agreement. The Parties reserve the right to disclose only such information at its discretion and which it thinks, is necessary to disclose in relation to the Proposed Transaction.
15. Both the Parties agree that this Agreement will be effective from the date of execution of this Agreement by both Parties and shall continue to be effective till the Proposed Transaction is terminated by either Party by giving a thirty (30) days' notice, in case either Party foresees that the Proposed Transaction would not be achieved.
16. Notwithstanding anything contained herein, the confidentiality provisions of this Agreement shall survive and continue indefinitely after expiration or termination of this Agreement. [or for a further period of _____ year(s) from the date of expiration.]

17. It being further clarified that notwithstanding anything contained herein, in case a binding agreement is executed between the Parties in furtherance of the Proposed Transaction, the terms and conditions of this Agreement shall become effective and form a part of that binding agreement and be co-terminus with such binding agreement and shall be in effect till the term of such binding agreement and shall after its expiry and or early termination shall continue to be in force in the following manner:
- a)years after the termination of the binding agreement
 - b)years after the expiry of the binding agreement (whichever is earlier)
18. Each Party warrants that it has the authority to enter into this Agreement.
19. If any provision of this agreement is held to be invalid or unenforceable to any extent, the remainder of this Agreement shall not be affected, and each provision hereof shall be valid and enforceable to the fullest extent permitted by law. Any invalid or unenforceable provision of this Agreement shall be replaced with a provision that is valid and enforceable and most nearly reflects the original intent of the unenforceable provision.
20. This Agreement may be executed in two counterparts, each of which will be deemed to be an original, and all of which, when taken together, shall be deemed to constitute one and the same agreement.
21. The relationship between both the Parties to this Agreement shall be on a principal-to-principal basis and nothing in this agreement shall be deemed to have created a relationship of an agent or partner between the Parties.
22. This Agreement shall be governed by the laws of India. Both parties irrevocably submit to the exclusive jurisdiction of the Courts in [*choose the jurisdiction to settle disputes*], for any action or proceeding regarding this Agreement. Any dispute or claim arising out of or in connection herewith, or the breach, termination or invalidity thereof, shall be settled by arbitration in accordance with the provisions of Procedure of the Indian Arbitration & Conciliation Act, 1996, including any amendments thereof. The arbitral tribunal shall be composed of a sole arbitrator, and such arbitrator shall be appointed mutually by the Parties. The place of arbitration shall be [*place*], India and the arbitration proceedings shall take place in the English language.
23. Additional oral agreements do not exist. All modifications and amendments to this Agreement must be made in writing.

24. The Agreement and/or any rights arising from it cannot be assigned or otherwise transferred either wholly or in part, without the written consent of the other Party.

IN WITNESS WHEREOF, THE PARTIES HERETO HAVE EXECUTED THIS CONFIDENTIALITY AGREEMENT IN DUPLICATE BY AFFIXING THE SIGNATURE OF THE AUTHORISED REPRESENTATIVES AS OF THE DATE HEREIN ABOVE MENTIONED.

FOR *[insert name of participant or potential or current partner]* *[insert name of representative]*
[insert title]

Done at *[place]* on *[date]*

Contac us

INDIA IP SME HELPDESK

University of Alicante - Sede Ciudad de Alicante
C/San Fernando, 40 Atico
03001 Alicante, Spain

Helpline: +34 96 590 9684

Working hours: Monday - Friday 9:00 -16:30 (CEST)

india@iprhelpdesk.eu

ec.europa.eu/ip-helpdesk

    @indiaIPhelpdesk